A MAGICWORKS PLAYBOOK

The Platform Strategy Checklist

22 decisions to make before you build a marketplace or platform

Built for Indian businesses • 2026 edition

MagicWorks

MagicWorks IT Solutions Pvt. Ltd. • An AI-first digital marketing agency • Pune

Evolving with Purpose.

About this checklist

Who it is for: founders and product leaders building, or seriously considering, a marketplace or multi-sided platform, in edtech, B2B sourcing and trade, wellness and lifestyle, or any sector where two sides need to meet.

What you will get: the 22 decisions that determine whether a platform works, grouped into six themes, plus the common mistakes and a one-page checklist. These are decisions to make on paper, deliberately, before you make them by accident in code.

How to use it: go through the 22 in order with your co-founders. For each, write down your answer in a sentence. Where you cannot, you have found something to resolve before you build.

One promise up front: this is founder-led and honest. Platforms are hard, and most fail at the same predictable points. We would rather you see those points now than discover them after the spend. If you want a sounding board, that offer stands at the end.

> We advise and design. You choose who builds. Our platform work is founder-led and consultation only.

Executive summary: five truths about platforms

If you read nothing else, read this.

1. **Liquidity is the product.** A marketplace with no liquidity is just a directory. Everything serves the first reliable transaction.
2. **Pick a side and a niche.** You cannot boil the ocean. Win one narrow market first, then expand.
3. **Most platforms die of cold start, not competition.** Plan exactly how the first transactions happen.
4. **Trust is the moat.** Verification, quality, and safety are what let strangers transact, and what keep them with you.
5. **Decide before you build.** Every decision here is far cheaper to make on paper than to discover in code.

> **Key takeaway:** A platform is a sequence of hard decisions, not a feature list. Make the decisions first.

Part 1: The business model (decisions 1 to 4)

1. The core transaction. Name the single unit of value your platform exists to enable, and who is on each side of it. Everything else serves this one exchange.

2. The business model. Decide how and when you earn: commission on the transaction, subscription, listing or lead fees, or advertising. Pick the one the transaction can comfortably support.

3. The sides, and the harder one. Identify your supply and demand sides, and be honest about which is harder to attract. That side is where most of your effort will go.

4. Take rate and unit economics. Work out whether a single transaction can sustain your cut after costs. If the maths does not work on one deal, scale will not save it.

Part 2: Liquidity and cold start (decisions 5 to 8)

5. Which side first. Decide whether to build supply or demand first, and why. Usually you seed the harder side, then attract the easier one.

6. The cold-start plan. Spell out how the first real transactions happen, in a market narrow enough to actually reach liquidity. This is the single biggest reason platforms live or die.

7. Where to start narrow. Choose one category, city, or community to win first. A liquid niche beats a thin national launch every time.

8. Single-player value. Decide whether one side gets value before the other arrives. If a user gains nothing until the network exists, your cold start is much harder.

Part 3: Trust, quality, and money (decisions 9 to 12)

9. Trust and safety. Decide how you verify participants, handle reviews and reputation, and resolve disputes. Trust is what lets strangers transact at all.

10. Quality control. Choose how open or curated your platform is, and how you hold quality as you scale. Curation builds trust but slows growth; decide the trade-off deliberately.

11. Disintermediation. Decide what keeps both sides transacting on the platform rather than taking the relationship elsewhere. Ongoing value, payments, and trust are your levers.

12. Money flow and compliance. Decide how money moves: payments, escrow, payouts, and refunds, and the Indian rules that apply, including payment regulations, GST, and any sector requirements. Get this right early, not after launch.

Part 4: Product and build (decisions 13 to 16)

13. The MVP. Define the smallest product that enables the core transaction for a real user, and nothing more. Resist building features before you have liquidity.

14. Build, buy, or no-code. Decide how to build the first version as cheaply as possible. Proven tools or no-code can prove the transaction before you invest in custom software.

15. Matching and discovery. Decide how the two sides find each other: search, human curation, or algorithmic matching. The right answer depends entirely on your transaction.

16. Mobile or web. Decide where your users actually are, and build there first, rather than trying to be everywhere at once.

Part 5: Go-to-market and growth (decisions 17 to 19)

17. Acquisition for each side. Decide the channels and the likely cost to acquire each side separately. Both sides need a plan, and they rarely use the same one.

18. Incentives and the path off them. Decide what subsidies or incentives bootstrap early activity, and how you wean off them without the activity collapsing.

19. The metrics that matter. Decide the few numbers you will live by: liquidity, match rate, repeat usage, and retention. Not registrations and downloads.

Part 6: Defensibility and risk (decisions 20 to 22)

20. Network effects and moat. Decide what actually compounds as you grow, and therefore what makes you hard to copy once you have liquidity.

21. Regulation and legal. Decide how you handle the rules that apply to you: intermediary and platform obligations, the DPDP Act 2023, and any sector regulation, for example in edtech, wellness, or trade.

22. Capital and milestones. Decide how much capital it takes to reach liquidity, and the honest milestones along the way. Most founders underestimate both.

Part 7: The mistakes that sink platforms

- **Building the whole platform before proving one transaction.** Prove the exchange first, then build around it.
- **Chasing both sides equally.** Solve the harder side; the easier one follows.
- **Ignoring disintermediation** until both sides have quietly taken the relationship elsewhere.
- **Living on vanity metrics.** Registrations and downloads feel good and mean little. Watch liquidity and repeat use.
- **Underestimating trust, payments, and regulation.** These are not afterthoughts; they are the platform.
- **Raising and spending for scale before liquidity.** Scale before liquidity just burns money faster.

Part 8: Frequently asked questions

What is the difference between a platform and a marketplace?

A marketplace is a type of platform focused on enabling transactions between a supply side and a demand side. The decisions here apply to marketplaces and, mostly, to other multi-sided platforms too.

Which side should I build first?

Usually the harder side to attract, often supply, because once it is in place the easier side follows. But the real answer is whichever choice best solves your cold start.

Do I need to build custom, or can I start no-code?

Start as lean as you can. Proving the core transaction with simple or no-code tools is far cheaper than discovering, after a custom build, that the transaction does not work.

How do I stop users going off-platform?

Keep delivering value they cannot get by leaving: trusted payments, reputation, convenience, and protection. Disintermediation is a sign the platform has stopped adding value.

Is this only for venture-scale startups?

No. These decisions apply to any marketplace or platform idea, whatever its ambition. Founder-led and focused beats big and unfocused.

Will MagicWorks build my platform?

No. Our platform work is consultation only and founder-led. We help you make these decisions well and design the path. You choose who builds.

Part 9: How MagicWorks can help

Marketplaces and platforms are the hardest thing to get right in digital, and the most expensive to get wrong. Our Marketplace and Platform Consultation practice exists for exactly the decisions in this checklist. It is led personally by our founder, and it is consultation only.

How we work with platform founders:

- **A platform strategy workshop** to pressure-test your idea and the core transaction with your team.
- **A platform roadmap audit,** our flagship: we work through these decisions with you and give you a sequenced, honest plan.
- **A targeted advisory sprint** when you face one specific decision, such as cold start or business model.
- **An embedded platform advisor** when you want a steady, experienced hand as you execute.

We focus where we can be most useful, particularly edtech, B2B sourcing and trade marketplaces, and wellness and lifestyle platforms. We advise and design. You choose who builds.

The next step: book a thirty-minute discovery call. Bring your platform idea and the decisions you are unsure about, and we will think it through with you honestly. No obligation.

> magicworksitsolutions.com • Book a discovery call • Evolving with Purpose.

Appendix: the 22-decision checklist

The business model

- ☐ 1. The core transaction is named
- ☐ 2. The business model and timing are chosen
- ☐ 3. The harder side is identified
- ☐ 4. Unit economics work on a single transaction

Liquidity and cold start

- ☐ 5. Which side to build first is decided
- ☐ 6. The cold-start plan is written
- ☐ 7. The narrow starting market is chosen
- ☐ 8. Single-player value is understood

Trust, quality, and money

- ☐ 9. Trust, reviews, and disputes are designed
- ☐ 10. The quality and curation trade-off is decided
- ☐ 11. Disintermediation is addressed
- ☐ 12. Money flow and Indian compliance are sorted

Product and build

- ☐ 13. The MVP is defined and minimal
- ☐ 14. Build, buy, or no-code is chosen
- ☐ 15. The matching and discovery model is decided
- ☐ 16. Mobile or web is chosen for first build

Go-to-market and growth

- ☐ 17. Acquisition is planned for each side
- ☐ 18. Incentives and the path off them are planned
- ☐ 19. The metrics that matter are chosen

Defensibility and risk

- ☐ 20. The moat and network effects are understood
- ☐ 21. Regulation, intermediary rules, and DPDP are handled
- ☐ 22. Capital needed for liquidity and milestones are set

This checklist is provided for general guidance and is not legal, financial, or investment advice. For counsel tailored to your platform, speak with our team and the right professional advisors.